

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-26

TRIPLE L GLOBAL, LLC,

COMPLAINANT,

v.

SLI, INC. d/b/a SEALINK INTERNATIONAL

RESPONDENT

RESPONDENT’S REPLY IN SUPPORT OF ITS MOTON TO DISMISS

Respondent SLI, Inc. d/b/a Sealink International, (“Sealink”) submits this Reply in support of its Motion to Dismiss Complainant’s Verified Complaint of Triple L Global, LLC (“Triple L”) for Lack of Subject Matter Jurisdiction and Failure to State a Claim. Triple L fails in its burden to prove that the Commission has subject matter jurisdiction over its Complaint. Its conclusory allegations of the elements of its claims made without proper pleading of supporting facts and its reliance on issues related to breach of contract confirm that, as a matter of law, the Commission does not have jurisdiction over the Complaint.

Triple L’s claimed violations of § 41102(c), on their face, do not involve regulations or practice over which the Commission has jurisdiction. Because Triple L’s Complaint does not provide any allegation that the communications between Sealink and Triple L’s consignee related to the “nature, kind, quantity, destination, consignee, or routing” of Triple L’s property but merely allege that Sealink’s contacting Triple L’s consignee, Triple L does not state a violation of 46 U.S.C.

§ 41103 and, thus, cannot support jurisdiction. Therefore, the Complaint must be dismissed for want of subject matter jurisdiction.

I. INTRODUCTION

1. Triple L filed its Verified Complaint on August 2, 2024, asserting three violations of the Shipping Act: (1) 46 U.S.C. § 41102(c) – unjust and unreasonable practices in receiving, handling, storing, or delivering property; (2) 46 U.S.C. § 41103 – unlawful disclosure of information and Unjust and Unreasonable Practices in Receiving, Handling, Storing, Or Delivering Property; and (3) 46 C.F.R. §§ 515.31; 515.32. – duties and responsibilities of ocean transportation intermediaries and freight forwarder duties.

2. On September 3, 2024, Sealink filed its Motion to Dismiss for Lack of Subject Matter Jurisdiction and Failure to State a Claim. Triple L filed its Response on September 24.¹ This Reply follows.

3. Triple L's Response provides a disjointed and unsupported argument that the Verified Complaint survives the Motion to Dismiss as the allegations “must be assumed to be true and are to be construed in the light most favorable to the Complainant[.]”² Notwithstanding this claim, Triple L has not amended its Complaint—the same deficiencies asserted in Sealink's Motion to Dismiss persist; further, Triple L's argument in its Response is largely unsupported by factual or legal basis or citation and fails to remedy the Complaint's fatal flaws.

4. The Response correctly asserts that the Court, when evaluating a motion to dismiss, must find more than a “formulaic recitation of the elements of a cause of action.” *Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009).³ However, Triple L fails to meet this requirement in its Response,

¹ The Parties agreed to a one-week extension to respond to the Motion to Dismiss.

² *Complainant's Response*, at p. 6.

³ *Complainant's Response*, at p. 6.

providing varied, but unsupported, arguments. Triple L's continued reliance on the Terms and Conditions contained in the agreement between the parties further supports Sealink's contention that the central dispute between the parties is one based on contract, not the Shipping Act.⁴

5. Triple L's Response fails to show either (1) that the claims are subject to the jurisdiction of the Commission and (2) claims for which relief can be granted. Therefore, the Motion to Dismiss should be granted.

II. ARGUMENT & AUTHORITIES

a. Triple L's Burden in Response to the Motion to Dismiss

6. Triple L has the burden to prove the FMC's subject matter jurisdiction. *See Garanti Finansal Kiralama A.S. v. Aqua Marine & Trading, Inc.*, 697 F.3d 59, 65 (2d Cir. 2012). Conclusory allegations are insufficient to meet this burden and defeat a motion to dismiss. *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 557 (2007). That is, Triple L must show that the Complaint is sufficient to "give the defendant fair notice of what the... claim is and the grounds upon which it rests." *See Id.* at 556. "[A] plaintiff's obligation to provide the 'grounds' of his 'entitle[ment] to relief' requires more than labels and conclusions, and a formulaic recitation of the elements of a cause of action will not do..." *Id.* at 555. "Factual allegations must be enough to raise a right to relief above the speculative level." *Id.* at 555.

7. Mere legal conclusions are not entitled to the presumption of truth. *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, 34 S.R.R. 35, 58 (FMC 2015). Subject matter jurisdiction cannot be established when the alleged wrongful conduct falls outside

⁴ *Complainant's Response*, at Exhibit 1a and 1b. Notably, Complainant claims that there is significant difference in the Terms and Conditions posted on Sealink's website from those that were agreed to and signed by the parties.

the scope of the Shipping Act provision at issue. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1643 (FC 2000).

b. Sealink's Status as either an OFF or NVOCC Fails to Negate the Motion to Dismiss.

8. In response to the Motion to Dismiss, Triple L first asserts that Sealink operated as a Ocean Freight Forwarder ("OFF"), not a Non-Vessel Operating Common Carrier ("NVOCC").⁵ However, Triple L makes no conclusion applicable to the Motion to Dismiss from this argument, noting only that "discovery may be allowed to confirm that [Sealink] acted only as an OFF" and that the FMC has jurisdiction over both an OFF and NVOCC.⁶

9. The fact that the FMC has jurisdiction over both OFF's and NVOCC's is not determinative as to whether there is jurisdiction in this case, or as related to Complainant's asserted claims. *See Cornell v. Princess Cruise Lines, Ltd., Carnival PLC, and Carnival Corp.*, 33 S.R.R. 614, 620 (FMC 2014) (opining that the FMC evaluates a motion to dismiss to determine if the Complaint "states a cognizable claim under the Shipping Act."). Sealink's Motion to Dismiss does not challenge the FMC's jurisdiction regarding its ability to regulate shipping entities, but rather challenges the specific application of the Shipping Act to Sealink in this proceeding on the claims asserted in the Complaint. *See Id.*

c. Triple L's Response Fails to Demonstrate a Claim Related to the Shipping, Handling, Storing, or Delivery of Property.

10. In response to the Motion to Dismiss Triple L's 46 U.S.C. § 41102(c) claim, Complainant merely restates the elements of the cause of action but provides inadequate factual support.⁷ The fact that such a statute exists does not give this Court jurisdiction over Sealink on

⁵ *Complainant's Response*, at p. 6.

⁶ *Complainant's Response*, at p. 6.

⁷ *Complainant's Response*, at p. 9-10.

the facts plead in the Complaint. Triple L’s basis for asserting that Sealink attempted to convert its property is a bare recital of the elements required, stating in a conclusory fashion only that Sealink attempted to convert Triple L’s property and that the Terms and Conditions “run afoul of FMC regulations.”⁸

11. Claimant’s allegations related to alleged violations of the Terms and Conditions fail to address the statutory requirement that the challenged practice be “normal”. *A.N. Deringer, Inc. v. Marlin Marine Services, Inc.*, 25 S.R.R. 1273, 1276 (SO 1990). Claimant only states that a demand for damages prior to litigation is sufficient to meet the standard under § 41102(c).⁹ Because Triple L’s alleged violation constitutes a single instance, the complained of conduct cannot be shown as a matter of law to be continuous. *See Hangzhou Qianwang Dress Co., Ltd., v. Rdd Freight International Inc.*, 2019 WL 6124914, at *12 (FMC Nov. 7, 2019) (finding allegation that Respondent may have acted in a similar manner to other clients “does not suffice as proof that [Respondent] engaged in the conduct on a normal, customary, or continuous basis.”).

12. Triple L’s only attempt to contradict this fatal flaw is the bare assertion that Sealink engages in a “practice of posting conflicting website terms that run afoul of FMC regulations”¹⁰—a claim that is not supported by a reference to the subject Complaint and without legal or factual support under the cited statute. Complainant’s argument, moreover, is contradicted by its own admission that it “shipped over 250 containers with Sealink without any issues or problems” (emphasis added)¹¹—directly opposing its own claims and demonstrating that the allegations are not supported by any evidence of a normal practice, and constitute only an isolated instance.

⁸ *Verified Complaint*, at ¶¶ 36-37.

⁹ *Complainant’s Response*, at p. 10.

¹⁰ *Complainant’s Response*, at p. 10.

¹¹ *Verified Complaint*, at ¶17.

Hangzhou Qianwang Dress Co., Ltd., v. Rdd Freight International Inc., 2019 WL 6124914, at *10 (FMC Nov. 7, 2019). The plain statement that “Sealink’s unreasonable and unjust practices relate to receiving, handling, storing, or delivering property”¹² barely rises above mere recital and is inadequate as a matter of law to survive Sealink’s Motion to Dismiss. *See Ashcroft v. Iqbal*, 556 U.S. 662, 678-79 (2009) (“only a complaint that states a plausible claim for relief survives a motion to dismiss”).

13. Triple L’s assertion that its allegation of lack of adequate notice (as determined by the Terms and Conditions) meets the standard under 41102(c) for unjust and unreasonable¹³ fails because it does not state how the purported violation of the agreement between the parties supports the FMC’s jurisdiction. *See e.g., Crocus Inv., LLC v. Marine Trans. Logistics, Inc.*, 34 S.R.R. 327 (ALJ June 17, 2006) (dismissing claimed violations of § 41102(c) for lack of jurisdiction when claims exceeded the statute’s scope). Without an “underlying purpose related to terminal operation,” which Triple L does not and cannot allege, the FMC has no subject matter jurisdiction over Triple L’s claim under 41102(c). *Louis Dreyfus Corp. v. Plaquemines Port, Harbor & Terminal District*, 25 FMC 59, 67 (FMC 1982) (finding that a Port’s assessment of fees are inherently related to terminal operations, and therefore subject to the jurisdiction of the commission).

d. The Terms and Conditions Do Not Show a Customary Practice

14. In response to Sealink’s claim that Triple L failed to demonstrate a customary practice which was unjust or unreasonable, Triple L again does nothing more than cite the required legal basis: “TLG stated plausible facts to support a violation of §41102(c).”¹⁴ Triple L’s singular

¹² *Verified Complaint*, at ¶36.

¹³ *See Complainant’s Response*, at p. 12.

¹⁴ *See Complainant’s Response*, at p. 12.

basis for this conclusion is the existence of the Terms and Conditions and the fact that Triple L merely alleges without factual substantiation that they were violated: “SLI’s publishing of its Terms and conditions on its website...meets the standard of 46 C.F.R. § 545.4(b)[.]”¹⁵ The Complaint contains no further support. Triple L only uses the term “practice” in its Complaint when reciting the elements of § 41102(c), but not in articulating an actual statutory violation based on a statement of applicable facts.¹⁶ Triple L concludes without legal or factual support that since the terms and conditions were posted on Sealink’s website, the alleged acts or omissions are “occurring on a continuous basis”¹⁷. It does not assert that the posting in and of itself is the violative act or omission.

15. Triple L’s allegation further does not demonstrate that Sealink was unjust or unreasonable as required by the statute on which it relies. Triple L’s basis for its allegations is a purported single instance, the mere potential of other violations is inadequate. See *Maier Terminals, LLC*, 34 S.R.R. at 58 (doing nothing more than stating a legal conclusion without factual support is insufficient); *Hangzhou Qianwang Dress Co., Ltd., v. Rdd Freight International Inc.*, 2019 WL 6124914, at *12 (FMC Nov. 7, 2019).

e. Triple L Fails to Show that It is a “Direct Purchaser”

16. In response to Sealink’s claim that Triple L has no standing because it is not a direct purchaser, Complainant makes a contradictory argument. First, Triple L claims that the rule does not apply because it is not seeking reparations or disputing demurrage or detention charges “against the ocean carriers involved in transporting TLG’s cargo—CMA and Maersk.”¹⁸ However,

¹⁵ See *Complainant’s Response*, at p. 13.

¹⁶ *Verified Complaint*, at ¶¶ 34-37.

¹⁷ See *Complainant’s Response*, at p. 9.

¹⁸ *Complainant’s Response*, at p. 13.

a claim under 46 U.S.C. § 41301(a) requires that parties have paid contested charges to claim reparations. *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985). Furthermore, Triple L has indeed asserted causes of action under this rule.¹⁹

16. Then, Triple L claims that the Direct Purchaser rule “has no application to this proceeding” because it is seeking reparations against Sealink for “violation of 46 U.S.C. § 41102(c) and 46 U.S.C. § 41103”.²⁰ If Triple L is not alleging any violation under § 41301(a), then it agrees there is no standing, and the motion should be granted. Conversely, if Triple L is claiming that charges were paid to other parties and not to Sealink, Triple L cannot demonstrate that it paid contested charges to Sealink, it has no standing, and the Motion should be granted. *See Carton-Print, Inc. v. Austasia Container Express*, 20 F.M.C. 31, 34 (FMC 1977) (“[i]n order to seek reparations . . . complainant must either show that he has paid the freight or has a valid assignment of the claim from the person who did pay the freight.”). Either way, Triple L’s Complaint should be dismissed.

f. Triple L Provides No Factual Basis for Its Claim under 46 U.S.C. § 41103.

17. Triple L’s Response fails, like the Complaint, to allege any communications related to the “nature, kind, quantity, destination, consignee, or routing” of Triple L’s property. Instead, Triple L now argues that the allegation of the unlawful sale of its property somehow comports to a disclosure of confidential information.²¹ Triple L attempts to distinguish this case from Sealink’s case law,²² but provides no alternative case or example. Without reference to any fact stated in the Complaint, Triple L argues that since it alleges the property was sold, Sealink must have disclosed

¹⁹ *Verified Response*, at ¶5.

²⁰ *Complainant’s Response*, at p. 13.

²¹ *See Complainant’s Response*, at p. 17.

²² *Way Interglobal Network, LLC v. Shenzhen Unifelix Scm Limited*, 2024 WL 1741944, at *32-33 (ALJ Apr. 19, 2024).

confidential information—exactly what information, Triple L does not describe. The only communications referenced in the Complaint have no description of the nature, kind, quantity, destination, consignee, or routing of the goods.²³

18. Complainant again simply states that Sealink’s alleged acts meet the standard but provides no factual or legal basis related to the ‘nature, kind, quantity, destination, consignee, or routing of any property.’ *Way Interglobal Network, LLC v. Shenzhen Unifelix Scm Limited*, 2024 WL 1741944, at *32-33 (ALJ Apr. 19, 2024).

III. CONCLUSION

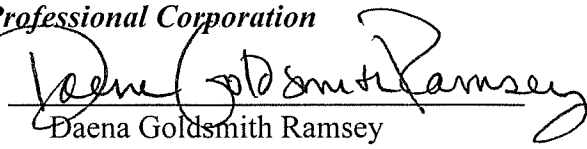
19. Triple L’s Response fails to demonstrate that its Complaint properly invokes the FMC’s subject matter jurisdiction. Triple L’s Response fails to provide the required factual or legal support for its allegations as required by law. Therefore, the Motion to Dismiss should be granted, and Triple L’s Complaint should be dismissed.

PRAYER

WHEREFORE PREMISES CONSIDERED, Respondent Sealink respectfully requests that the Commission dismiss Complainant Triple L’s claims and for any other further relief, at law or in equity, to which Sealink may be justly entitled.

Respectfully submitted,

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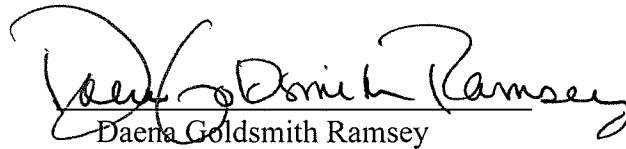
²³ *Verified Complaint*, at ¶40.

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**ATTORNEYS FOR RESPONDENT,
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CERTIFICATE OF SERVICE

I hereby certify that a true and correct copy of the foregoing Reply in Support of its Motion to Dismiss Verified Complaint of Triple L Global, LLC for Lack of Subject Matter Jurisdiction and Failure to State a Claim was served upon counsel for Triple L Global, LLC, Henry P. Gonzalez, LL.M., Gonzalez del Valle Law, 1250 Connecticut Ave., N.W., Suite 700, Washington, D.C. 20036 via Federal Express #7789 5387 2841 and via email gonzalez@gdvlegal.com this 1st day of October, 2024.


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